

# Is Your Bank's Insurance Exam-Ready?

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10 questions to check whether your community bank's insurance program is ready for your next exam

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Examiners are asking community banks harder questions about their cyber insurance. They don't want to know whether you have insurance, but whether the board understands what this insurance covers. Whether the limits are aligned to your risk assessment. Whether the policies (cyber, fidelity bond, D&O) work together when a wire fraud or a vendor outage hits.

Most community banks cannot confidently answer these questions, as the answers are hidden in the policy language, 50+ pages of definitions and exclusions.

These ten questions are a quick checklist, drawn from the analysis I do in my Risk Intelligence Report. If you can answer all ten, your program is in good shape. If you cannot, you know where the gaps are.

*Review each question and mark whether you can answer it from your actual policy language, not from a renewal summary or coverage overview, which typically describe what was purchased, not what is excluded.*

## 1 BOARD GOVERNANCE

### QUESTION 01

**Has your board reviewed what the cyber policy covers and excludes, not just approved the premium?**

Cyber insurance is the area examiners are scrutinizing most. They want evidence of board-level coverage review, not broker reliance.

☐ Yes ☐ No ☐ Not Sure

### QUESTION 02

**Is there a documented rationale connecting your coverage limits to your risk assessment?**

A \$1M cyber policy on a \$500M bank will draw examiner questions.

☐ Yes ☐ No ☐ Not Sure

## 2 POLICY COVERAGE

### QUESTION 03

**Does your fidelity bond's social engineering sublimit reflect your wire transfer volume?**

Wire fraud is not your most frequent loss. Check fraud is. But wire fraud is the loss your bond is actually asked to pay: check fraud mostly sits below your deductible and is absorbed as an operating loss, while wire fraud clears the deductible and lands on a sublimit. Many bonds carry sublimits that have not been adjusted for current transaction volumes.

☐ Yes ☐ No ☐ Not Sure

#### QUESTION 04

##### **After a data breach, which policy covers your directors' personal liability. Are you sure?**

If the D&O excludes cyber-related claims, the answer is the cyber policy, where your directors are almost certainly named as insureds. Most boards do not know that, because it lives in the definitions section rather than the coverage grants. What they also do not know is that a cyber policy has no Side A layer, so the board shares one limit with forensics and notification.

☐ Yes ☐ No ☐ Not Sure

#### QUESTION 05

##### **If your core banking vendor went down for a week, would your cyber policy cover the lost income?**

Most banks depend on a single core platform. Check whether your dependent business interruption coverage applies to vendor outages, and whether the sublimit covers a realistic scenario.

☐ Yes ☐ No ☐ Not Sure

#### QUESTION 06

##### **Does your cyber business interruption include interest income?**

Community banks earn 70–85% of revenue from net interest income. Most cyber BI definitions exclude it.

☐ Yes ☐ No ☐ Not Sure

#### QUESTION 07

##### **If a wire fraud triggered all three policies simultaneously, do you know what your total recovery would be?**

Defense costs inside the limit, cross-policy exclusions, and deductible stacking can reduce your recovery to a fraction of what the declarations pages show.

☐ Yes ☐ No ☐ Not Sure

#### QUESTION 08

##### **Have you compared your carrier's security warranty requirements to your most recent IT audit?**

If your IT environment does not match what you warranted on the insurance application, the carrier can deny the claim.

☐ Yes ☐ No ☐ Not Sure

### 3 POLICY INTERACTIONS

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#### QUESTION 09

##### **Does your cyber policy cover responding to a regulatory inquiry after an incident?**

Regulatory response coverage is often sublimited or excluded. If it is not in the cyber policy, check whether D&O picks it up, or whether its exclusion blocks it.

☐ Yes   ☐ No   ☐ Not Sure

#### QUESTION 10

##### **Has anyone mapped the exclusions across your cyber, bond, and D&O policies to find where conditions and carve-outs compound?**

Each policy's exclusions create gaps the other two will not fill. Without reading them together, you will not see the seams.

☐ Yes   ☐ No   ☐ Not Sure

If some of these questions were hard to answer with certainty, that is common. I find similar gaps at community banks across carriers. None of these questions can be answered from reading just the declarations page. They require a thorough analysis of the policy language.

A **Risk Intelligence Report** answers all ten of these questions for your specific policies. It reads your cyber, bond, and D&O policies together, maps which policy responds to each scenario, and identifies gaps with specific language and dollar amounts. You get board-ready documentation before your next examination.

**Get started:** [joerg@breezyrisk.com](mailto:joerg@breezyrisk.com) · [breezyrisk.com](https://breezyrisk.com)